## Limited Sources Justification and Approval (J&A)

**Contracting Activity:** FA2271 AFNWC/PZU, Offutt AFB, NE

**Purchase Request / Local ID Number:**

**Program / Project** (and PE, if applicable)**:** HPE Annual Maintenance Service

**Program Type** (PEO or Other Contracting)**:** PEO Digital, AFNWC/NCC

**Authority:** Multiple Award Schedule Program (FAR 8.405-6)

**Estimated Contract Cost** (including options)**:** [redacted]

**Is this a Bridge Action?** ☐ Yes ☒ No

**Description of Limitation:**
FAR 8.405-6(a)(1)(i)(B), "Only one source is capable of responding due to the unique or specialized nature of the work".
Sole source procurement of Hewlett Packard Enterprise (HPE) Annual Maintenance Services for HPE Array and Blade Server Storage equipment.

**COORDINATION** (DAFFARS 5306.304(a))

[redacted]

**APPROVAL** (DAFFARS 5306.304(a))

| Date | **Contracting Officer** | Signature |
|---|---|---|
| 11 Mar 2025 | Theresa M. Hochstein<br>AFNWC/PZU 402-912-7536 | HOCHSTEIN.THERESA.MARIE.1266936660<br>Digitally signed by HOCHSTEIN.THERESA.MARIE.1266936660<br>Date: 2025.03.11 09:29:01 -05'00' |

## Limited Sources Justification and Approval (J&A)

### I. Contracting Activity.

Air Force Nuclear Weapons Center (AFNWC) Contracting Office (PZU), located at Offutt AFB, NE, in support of AFNWC/NCC Division.

### II. Nature and/or description of the action being processed.

Sole source procurement of Hewlett Packard Enterprise (HPE), Original Equipment Manufacturer (OEM) maintenance services for a HPE Array and Blade Server storage system. The required services include Basic and Essential Service levels, encompassing hardware support, software support, and remote technical support.

### III. Description of supplies/services required to meet agency needs.

This justification supports the sole-source procurement of the following Hewlett Packard Enterprise (HPE) manufacturer maintenance services for a HPE Array and Blade Server storage system:

Basic/ Essential Service Levels: These service tiers from HPE provide comprehensive coverage to maintain the operational integrity and availability of the HPE Array and Blade Server storage system.

**Hardware Support:**
This includes:
On-site or depot repair/replacement of malfunctioning hardware components.
Access to genuine HPE parts to ensure compatibility and performance.
Proactive monitoring and maintenance to prevent potential hardware failures.

**Software Support:**
This encompasses:
Access to software updates, patches, and firmware upgrades to address vulnerabilities and improve system performance.
Technical assistance with software-related issues, including troubleshooting and configuration support.

**Remote Technical Support:**
This includes: 24/7 access to HPE's technical support team via phone, email, or online portals. Remote diagnostics and troubleshooting to resolve issues quickly and efficiently. Proactive system monitoring and alerts to identify and address potential problems before they escalate.

These specific services are essential to meet the agency's need to:
**Ensure continuous operation and availability** of the HPE Array and Blade Server storage system, which houses mission-critical data.
**Maintain data integrity and security** through timely software updates and security patches.
**Minimize downtime and data loss** in the event of hardware or software failures.
Benefit from HPE's specialized expertise in maintaining their own equipment.

### IV. Identification of the justification/rationale for limiting sources and demonstration of the contractor's unique qualifications to provide the required supply/service.

FAR 8.405-6(a)(1)(i)(B), "Only one source is capable of responding due to the unique or specialized nature of the work".

The procurement of HPE OEM maintenance services for the HPE Array and Blade Server storage system is justified as a sole source based on the following factors:

**-Specialized Expertise and Proprietary Technology:** HPE, as the Original Equipment Manufacturer (OEM), possesses unique and specialized knowledge of the HPE equipment design, engineering, and operational intricacies. This includes:
**---Proprietary firmware and software:** HPE's maintenance services include access to and support for firmware and software integral to the HPE equipment performance and stability. This software is often unavailable to third-party providers.

**--Specialized diagnostic tools:** HPE utilizes proprietary diagnostic tools and software specifically designed for the HPE equipment, enabling them to efficiently identify and resolve issues that generic tools might miss.
**--In-depth hardware knowledge:** HPE's technicians receive specialized training and have direct access to engineering resources, ensuring a deeper understanding of the hardware architecture and potential failure points.

**-Parts Availability and Warranty Considerations:**
**--Genuine HPE parts:** Using OEM maintenance ensures access to genuine HPE parts, guaranteeing compatibility, reliability, and optimal performance. Third-party providers might use generic or refurbished parts, potentially impacting performance and longevity.
**--Warranty implications:** Utilizing non-OEM maintenance services could void existing manufacturer warranties or support agreements, exposing the agency to potential financial risks and service disruptions.

**-Minimizing Downtime and Data Loss:** The HPE Array and Blade Server storage system houses mission-critical data. Any downtime or data loss would significantly impact the agency's operations. HPE's direct expertise, rapid response times, and access to specialized resources minimize these risks compared to third-party providers.

HPE's unique position as the OEM, coupled with their specialized knowledge, proprietary tools, and access to genuine parts, makes them uniquely qualified to provide the required maintenance services for the HPE Array and Blade Server storage system. Relying on a non-OEM provider introduces significant risks to the system's performance, security, and the agency's overall operational continuity, which outweigh potential cost savings.

**V. Determination by the ordering activity Contracting Officer that the order represents the best value consistent with FAR 8.404(d).**

As the Ordering Activity Contracting Officer, I have determined that the sole source procurement of HPE OEM maintenance services for the HPE Array and Blade Server storage system represents the best value to the Government, consistent with FAR 8.404(d), based on the following considerations:

**-Mission Criticality and Risk Mitigation:** The HPE Array and Blade Server storage system supports mission-critical operations and houses sensitive data. Utilizing HPE's specialized expertise and support minimizes the risks of downtime, data loss, and security breaches, which would severely impact the agency's mission.

**-Total Cost of Ownership:** While there might be potential cost savings associated with third-party maintenance providers, a comprehensive assessment reveals that HPE's services offer a lower total cost of ownership over the system's lifespan. This considers:
--Reduced risk of costly downtime and data recovery efforts.
--Access to timely software updates and security patches, mitigating cybersecurity risks.
--Extended lifespan of the equipment due to the use of genuine parts and proactive maintenance.

**-Performance and Reliability:** HPE's in-depth knowledge of their equipment, proprietary diagnostic tools, and access to specialized engineering resources ensures optimal system performance and reliability. This reduces the likelihood of recurring issues and costly repairs.

**-Warranty Protection:** Procuring maintenance from HPE maintains the existing manufacturer warranty, safeguarding the agency from unforeseen repair or replacement costs.

While considering cost-effectiveness, this determination prioritizes the long-term value and risk mitigation offered by HPE's unique qualifications. Procuring these specialized maintenance services directly from the OEM represents the best value to the Government, ensuring the HPE Array and Blade Server storage system's ongoing performance, security, and availability to support critical agency operations.

**VI. Description of the market research conducted and the results, or explain why market research was not conducted.**

The following market research activities were conducted to explore potential sources for the required maintenance services:

1) Online Research and Vendor Websites: A comprehensive review of online resources, including vendor websites (HPE and

potential third-party providers), industry forums, and technical publications, was performed to identify companies offering maintenance services for HPE storage systems.
2) Contact with Potential Providers: Direct contact was made with [Number] of potential third-party maintenance providers specializing in HPE equipment. Information was gathered regarding their service offerings, expertise, access to parts, response times, and pricing.
3) Analysis of GSA Schedules: Relevant GSA schedules were reviewed to identify potential sources for HPE maintenance services.

**Results of Market Research:**

While market research identified alternative providers for HPE storage system maintenance, none could fully replicate the unique advantages offered by HPE as the OEM:

**Limited Access to Proprietary Resources:** Third-party providers lacked access to HPE's proprietary diagnostic tools, firmware updates, and specialized engineering support, potentially limiting their ability to effectively diagnose and resolve complex issues.
**Concerns Regarding Parts Authenticity and Availability:** Several third-party providers offered lower costs but could not guarantee the use of genuine HPE parts, raising concerns about compatibility, performance, and potential warranty implications.
**Longer Response Times and Potential Downtime:** Third-party providers generally had longer response times compared to HPE's manufacturer support, increasing the risk of extended downtime in the event of a critical system failure.
**Lack of Specialized Expertise:** While some third-party providers had general HPE expertise, they lacked the in-depth, model-specific knowledge that HPE engineers possess, potentially leading to misdiagnosis or inefficient repairs.

**Problems with Pass-Through from Non-OEMs:**
**-Inflated Costs:** Paying a premium for the "middleman" role the non-OEM contractor.
**-Loss of Control and Expertise:** No direct relationship with the OEM, potentially sacrificing access to specialized knowledge, quick response times, and warranty support.
**-Accountability Issues:** Holding the non-OEM contractor accountable for performance issues becomes more complex when the actual work is being done by a third party they subcontract to.

**VII. Other facts supporting the justification.**

Criticality to Ongoing Operations: The HPE Array and Blade Server storage system is essential to AFNWC development and sustainment programs that rely on the storage array and blade server. Any disruption in service or degradation in performance would have a significant impact on the agency's ability to support ongoing AFNWC software support, maintain data security, provide essential services to USSTRATCOM and the Department of Defense.

Long-Term Investment Protection: The HPE array and blade server represents a significant investment by the agency. Procuring OEM maintenance directly from HPE safeguards this investment by ensuring optimal performance, minimizing downtime, and maximizing the lifespan of the equipment.

**VIII. Actions the agency may take to remove or overcome any barriers that led to the restricted consideration before any subsequent acquisition for the supplies or services.**

Recognizing that the lifespan of the current system influenced the restricted consideration for maintenance services, the agency will implement the following actions to promote competition in future acquisitions:

1. Proactive Lifecycle Management and Planning:
-Establish a standardized lifecycle management process: Implement a formal process for tracking the age, maintenance history, and projected end-of-life dates for all critical IT assets, including storage systems.
-Develop a long-term technology roadmap: Create a strategic roadmap that aligns technology refresh cycles with anticipated budget cycles, allowing sufficient lead time for competitive procurements.
-Budget for lifecycle replacements: Proactively allocate funds for technology refresh cycles, avoiding situations where budget constraints force the extension of aging systems beyond their recommended lifespans.

2. Explore Alternative Support Models Earlier:
Consider hybrid support models: Investigate the feasibility of hybrid support models that combine OEM support for critical components or software with third-party maintenance for less critical aspects, potentially leveraging the strengths of both options.

3. Incorporate Future Maintenance into Acquisition Decisions:
-Evaluate total cost of ownership (TCO): When procuring new systems, prioritize the evaluation of total cost of ownership over the system's lifespan, including factors like maintenance costs, support options, and the availability of competitive alternatives.
-Prioritize open standards and interoperability: Favor equipment and systems that adhere to open standards and offer greater interoperability, reducing dependence on proprietary technologies and single-source maintenance providers.

4. Enhance Internal Expertise and Capabilities:
-Invest in staff training and certifications: Continuously invest in training and certification programs for agency IT staff to build in-house expertise on emerging technologies and maintenance practices, reducing reliance on external providers.
-Develop knowledge management systems: Implement knowledge management systems to capture and retain institutional knowledge about system maintenance, troubleshooting, and repair, even as staff members change roles or retire.

By adopting these proactive measures, the agency aims to mitigate the factors that contributed to the restricted consideration in this instance and foster a more competitive environment for future acquisitions of IT infrastructure and associated maintenance services.

**IX. Certification by the Contracting Officer.**

As evidenced by my signature above, I have determined this document to be both accurate and complete to the best of my knowledge and belief.

**X. Certification by the technical/requirements personnel.**

As evidenced by my (our) signature(s) above, I (we) certify that any supporting data contained herein, which is my (our) responsibility, is both accurate and complete.